

CAPITAL MARKETS

Core Spaces Sells Itself a Portfolio: The Basis Is the Structure, Not the Price

A \$300M-plus student housing portfolio changes hands, but the buyer and seller share a sponsor. The real signal is in the capital stack.

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A source-grounded Light Tower Insight. The complete note follows.

The transaction is a sale. Economically, it is a capital stack reorganization.

Core Spaces has closed on a four-property portfolio of purpose-built student housing communities valued at more than \$300 million. The buyer is Core University Living Real Estate Income Trust, a perpetual-life non-listed REIT sponsored by the same firm. The seller is not named, but the portfolio is described as part of Core Spaces' core/core-plus investment strategy. The assets are stabilized, 99 percent occupied, fully pre-leased for the 2026-27 academic year, and located adjacent to Power 4 conference universities.

The headline number is \$300 million. The more revealing number is that the buyer and seller share a sponsor. This is not an arm's-length trade. It is a sponsor moving assets from one vehicle to another, resetting the basis for a different class of capital.

Non-listed REITs exist to provide retail and institutional investors access to stabilized real estate income without daily mark-to-market volatility. They also exist to give sponsors a permanent capital vehicle that can acquire assets from their own development or value-add funds at a moment when the public REIT market is not rewarding student housing exposure. The CUL REIT is not buying a portfolio at a distressed discount. It is buying a portfolio at a basis that allows the sponsor to lock in a spread between the cost of equity in the REIT and the stabilized yield of the assets.

The portfolio's average vintage of approximately eight years means these are not new developments. They are seasoned assets with proven leasing histories. The 99 percent occupancy and full pre-leasing for the next academic year remove the primary operating risk in student housing: summer lease-up. The buyer is underwriting a known cash flow stream, not a thesis about future demand.

The capital question is not whether the price was fair. The capital question is what the transaction does for the sponsor's balance sheet. By moving assets into a non-listed REIT, Core Spaces converts illiquid, single-asset equity into a more liquid, diversified, and income-oriented vehicle. The sponsor can raise additional equity at the REIT level, use that equity to acquire more assets, and earn management fees along the way. The seller, presumably a fund or joint venture with a finite life, gets an exit at a basis that avoids a distressed sale into a thin market.

This is the kind of transaction that appears when the bid-ask spread in the private market remains wide and the public market is selective about which property types it rewards. Student housing has strong fundamentals, but it is not office. It is not multifamily. It is a niche that requires specialized underwriting. A non-listed REIT provides a pool of capital that understands the niche and is not forced to sell when the cycle turns.

The structure also reveals something about the cost of capital. A non-listed REIT raises equity from investors who accept lower liquidity in exchange for higher current yield. The sponsor is effectively arbitraging the difference between what that equity costs and what the assets yield. If the REIT can raise equity at a 5-6 percent dividend yield and the portfolio generates a 7-8 percent stabilized yield, the spread covers fees and provides a cushion. That math works only if the assets are truly stabilized and the REIT can maintain its dividend.

The risk is that the REIT's net asset value is set by the sponsor's own transactions. Without an independent appraisal or a public market price, the basis is whatever the sponsor says it is. Investors in the CUL REIT are relying on Core Spaces' underwriting discipline and alignment of interest. That alignment is real, but it is not the same as a third-party transaction.

For owners of student housing assets, the transaction signals that sponsor-led liquidity is available for stabilized portfolios. The bid is not coming from institutional capital demanding a distressed discount. It is coming from a sponsor's own permanent capital vehicle, which can afford to pay a basis that reflects the asset's operating performance rather than the market's fear. That is a narrow lane, but it is a real one.

For lenders, the transaction is a reminder that the capital stack is not just debt and equity. It is also the vehicle structure that determines who gets liquidity and when. A non-listed REIT can be a source of equity for acquisitions, but it can also be a source of refinancing risk if the REIT's cost of capital rises or its dividend comes under pressure.

The next test for the student housing market is whether this structure can scale. One portfolio at \$300 million is a data point. A series of such transactions would signal that the sponsor-led recapitalization

of the sector has begun. Until then, this is a single trade that reveals more about the sponsor's capital strategy than about the market's appetite for student housing.

SOURCES

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<https://irei.com/news/core-spaces-closes-300m-plus-student-housing-portfolio-for-cul-reit/>

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